

401MAN Business Environment

Stakeholder analysis and environmental scanning

Learning Objective

By the end of the lesson you will be able to:

Describe what is meant by a stakeholder and who they are

Understand how stakeholders analysis can help a business

Conduct stakeholder analysis using the stakeholder assessment matrix



Environmental Scanning

- A process by which an organisation monitors both its internal and external environment to better achieve sustainable competitive advantage
- It involves monitoring, evaluating and dissemination of information about occasions, patterns, trends and relationships within an organisations internal and external environment
- Understanding the environment of a business makes it easy to identify the approaches a manager or business will use to audit the business environment

Approaches to environmental scanning

Internal analysis

- SWOT
- Value chain analysis
- The resource-based view (VRIO framework)
- Standards for comparison

External analysis

- PESTLE framework
- LoNGPESTLE
- Porter's five forces
- Industry life cycle analysis
- Porter's diamond model

Example: [A critical analysis of the internal and external environment of Apple Inc](#)

Internal Analysis

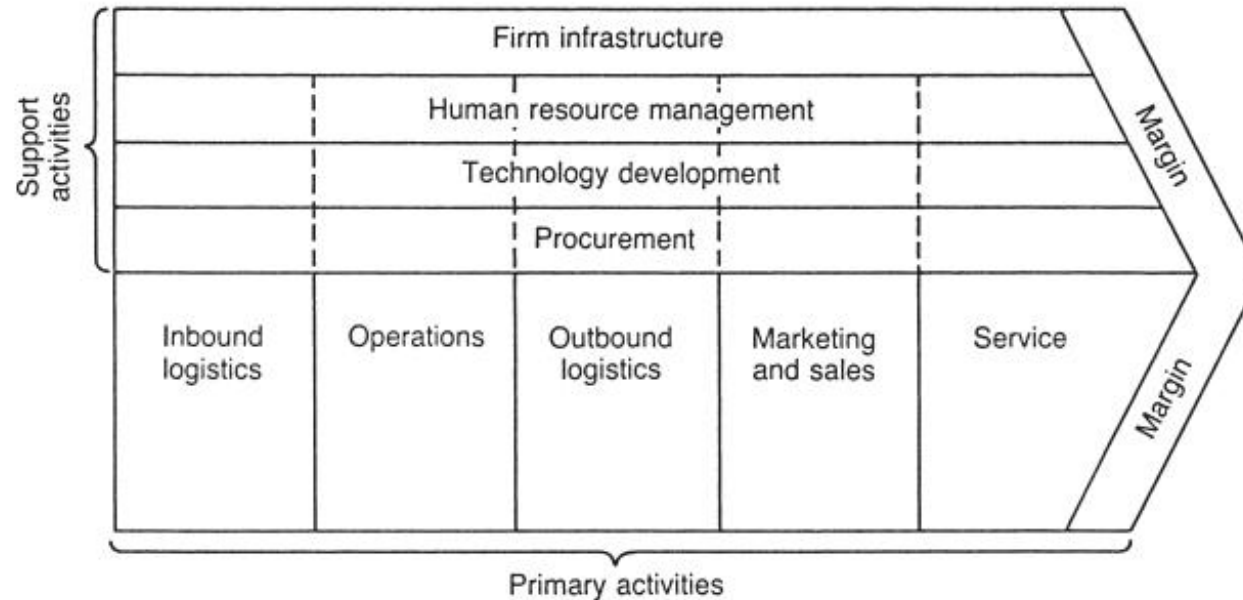


Figure 2.5 The value chain. *Source:* Porter (1985)

Internal Linkages:

- Optimization
- Coordination

Dabson, Starkey & Richard (2004)

External Analysis

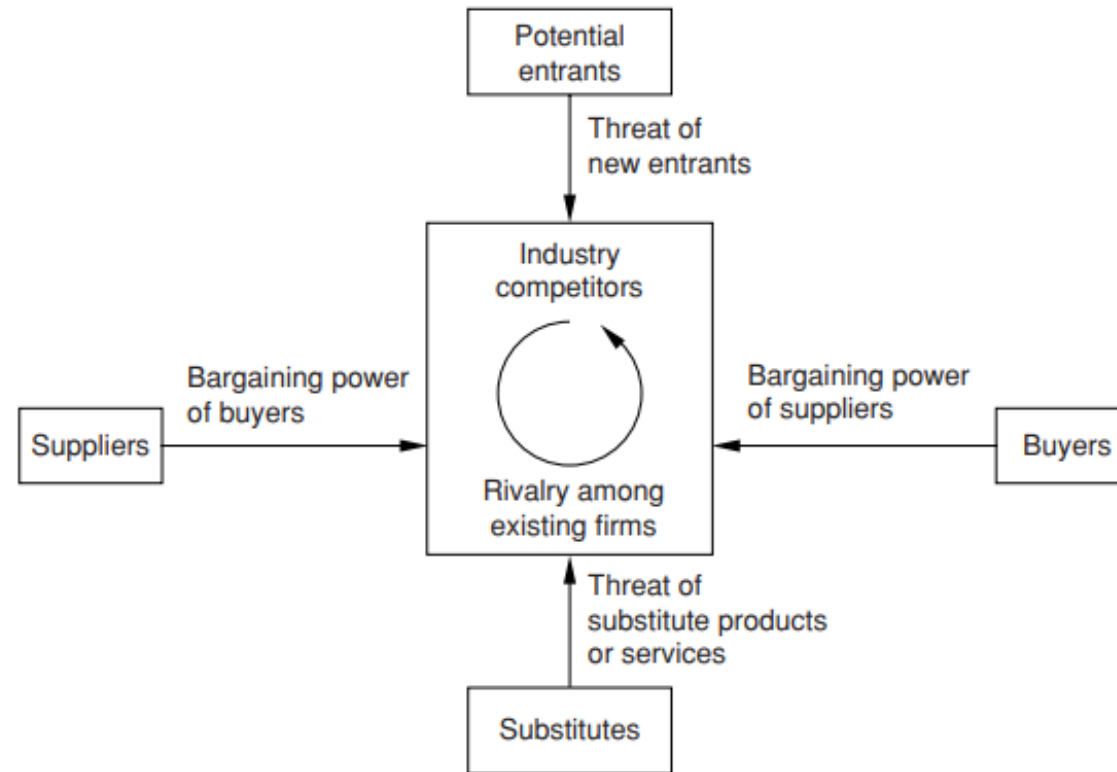


Figure 2.3 The five forces of industry competition. *Source:* Porter (1980)

Dabson, Starkey & Richard (2004)

Porter's 5 Forces

executed

in 5 Simple Steps

Tesla Case Study

Activity

Carry out an analysis of a business from the selected sector, using on the of the frameworks below.

Internal analysis

- SWOT
- Value chain analysis
- The resource-based view (VRIO framework)
- Standards for comparison

External analysis

- PESTLE framework
- LoNGPESTLE
- Porter's five forces
- Industry life cycle analysis
- Porter's diamond model

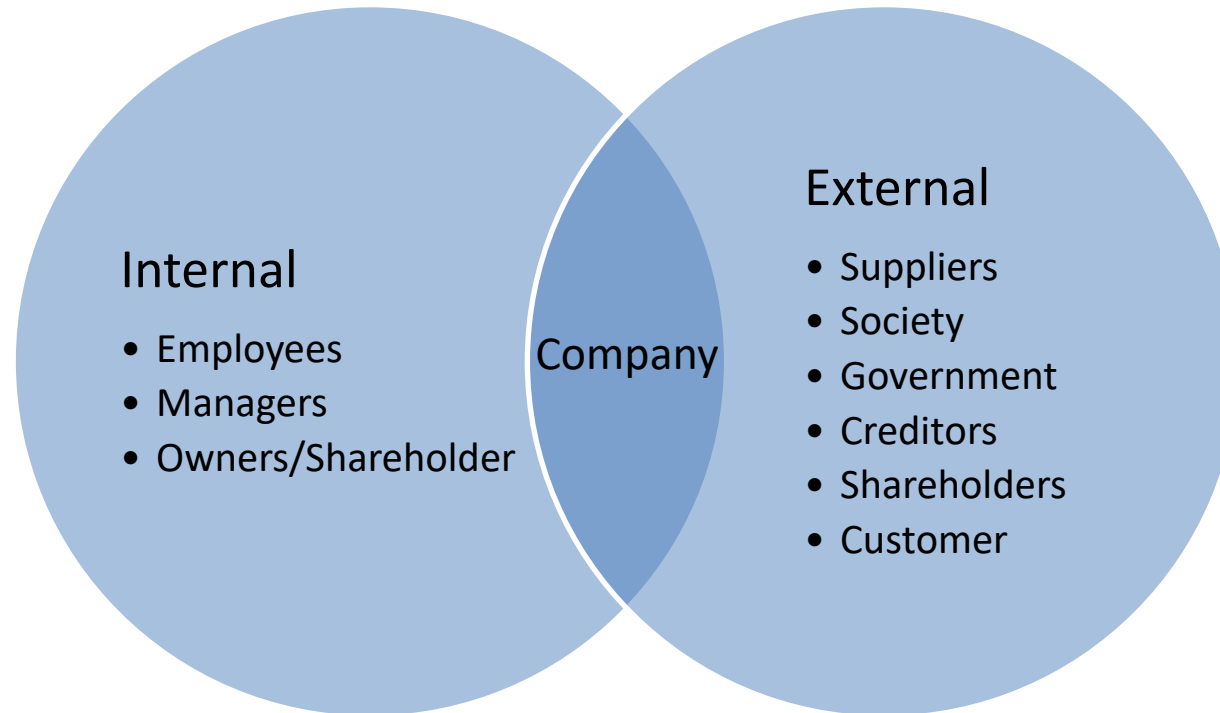
Organisations and Stakeholders

Any person or organisation who can be positively or negatively impacted by, or cause an impact on the actions of a company (Freeman, 1984)

Individuals and/or groups who are affected by or affect the performance of the organisation in which they have an interest (Worthington and Britton, 2006)

Individuals and constituencies that contribute, either voluntarily or involuntarily, to its wealth-creating capacity and activities, and are therefore its potential beneficiaries and/or risk bearers (Post, Preston & Sachs, 2002)

Classification of stakeholders



Who are Stakeholders?

- Anybody that is affected by an organisation
- Individuals and constituencies that contribute, either voluntarily or involuntarily, to its wealth-creating capacity and activities, and are therefore its potential beneficiaries and/or risk bearers (Post, Preston & Sachs, 2002)
- Any person or organisation who can be positively or negatively impacted by, or cause an impact on the actions of a company (Freeman, 1984)

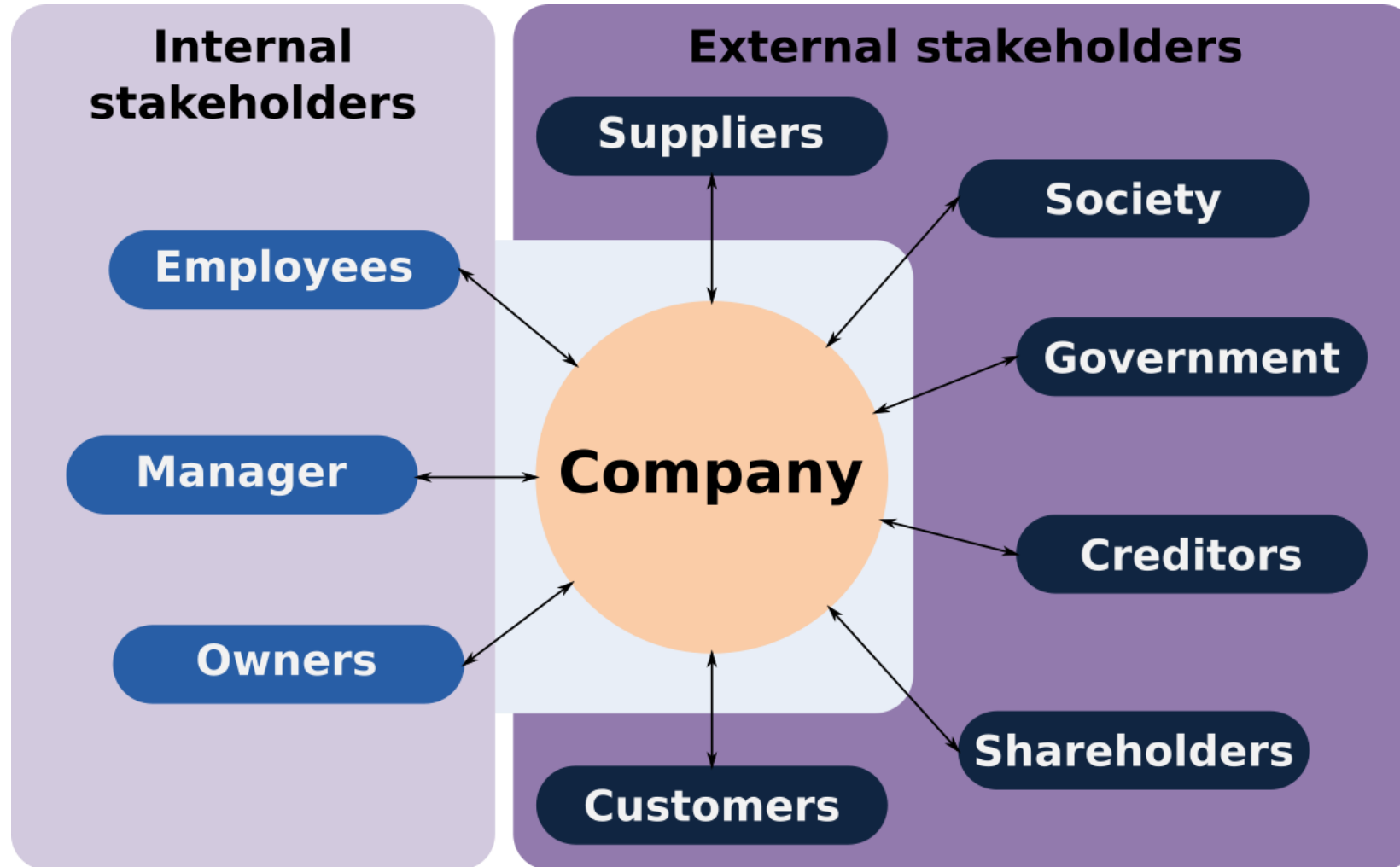
They are

- Those who can influence the project
- Those who are affected by the project
- Those who are involved in the project

A typical stakeholder list

Owners, stockholders and investors
Banks and creditors
Suppliers
Customers
Management
Employees
Competitors
Government and Regulators
Professional and industry association
Media
Non profit
Communities

Who are stakeholders?



Mullens (2016, p38)

Activity – 10 minutes

Who are the stakeholders for CUW? Can you identify them?

Stakeholder Analysis

- A technique you can use to identify and assess the importance of key individuals, groups, or institutions that may significantly influence the success of your project.
- members of your quality improvement team

Why do an analysis?

- Identify the stakeholders likely to be affected by or influence the activities of the organisation
- Assess how those stakeholders could be impacted or impact upon the organisation
- Anticipate the consequences of any change in the organisation's activities
- Identify stakeholder's 'success criteria'
- Assure a successful outcome for the organisation by developing cooperation with stakeholders

Why do an analysis?

- Identify local institutions and processes upon which to build on
- Develop strategies to get the most effective support possible for your initiative and reduce any obstacles to successful implementation of your program

Meeting Stakeholder Needs

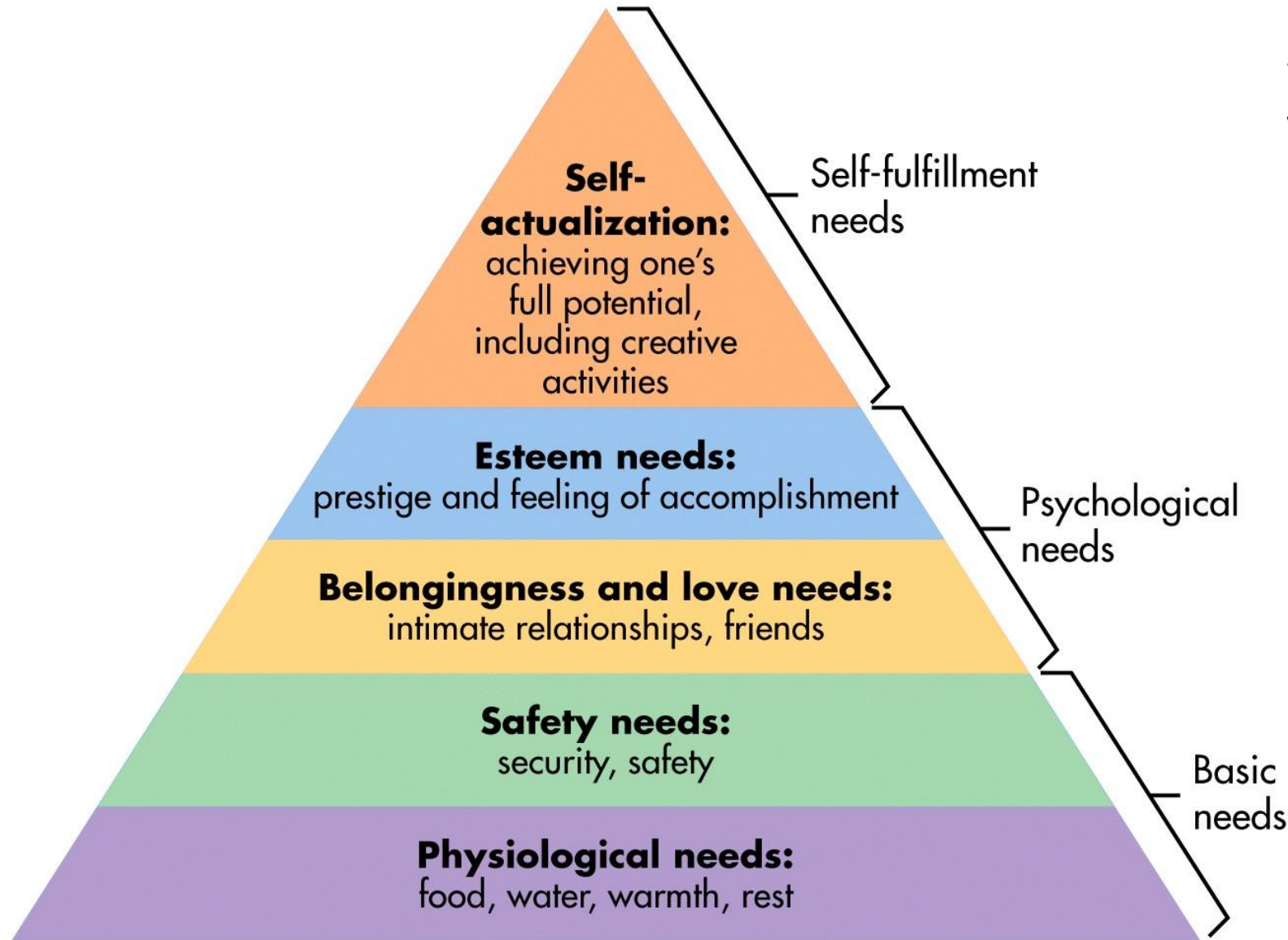
- How do you communicate with stakeholders?
- Do you communicate the stakeholder value?
- Do your communications encourage stakeholder exchange?
- Can you eliminate or reduce focus on processes which do not add stakeholder value?
- How can you do better?
- Where does your organisation create stakeholder value?

Identifying Stakeholders Template

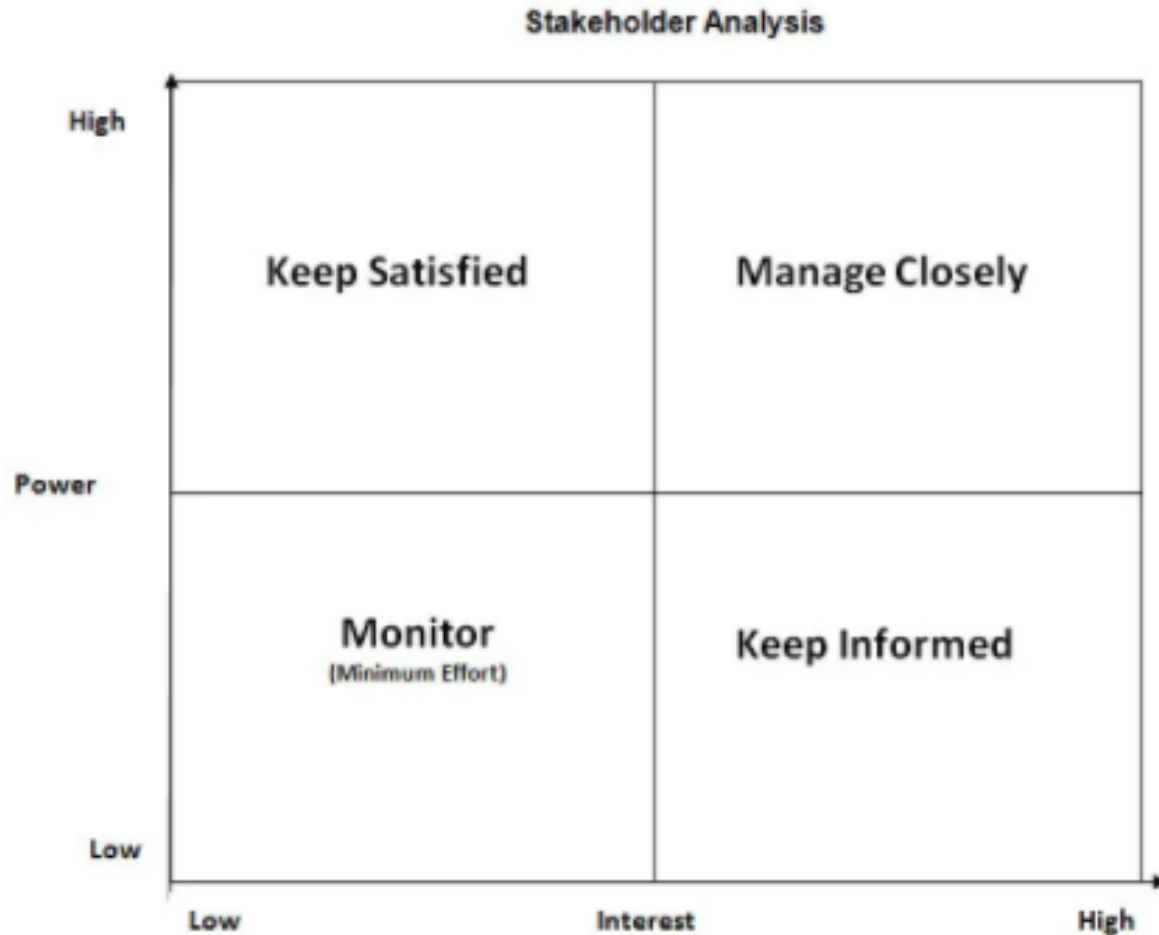
EXAMPLE

Stakeholder	Role	Anticipated Reaction	Stakeholder Needs/Concerns	Our Needs	Plans to Address
A stakeholder is any person, group, or entity that: • Can influence the change or... • Is affected by the change.	Each stakeholder may assume one or more roles. Identify each stakeholder's role(s). Will this stakeholder: • Need to approve resources and/or decide whether the change can proceed (a	How will the effort and any resulting changes likely impact this stakeholder? Will this stakeholder benefit or be adversely affected? Given the likely impacts and the stakeholder's prior behaviors, how is this stakeholder	What are the primary concerns of this stakeholder? What does this stakeholder need or expect from the change? What might influence whether he is supportive of the change? What will this stakeholder	What do we need from this stakeholder? • Approval? Resources? • Visible support/public endorsement? • Access to them? • Access to people on their team? • Lack of interference with or b	Given all that we know, how should we work with this stakeholder? • How will we prepare them for the change? • How will we communicate with them? • How will we address their needs and concerns?

What are the interests of the various stakeholders?



Stakeholder Mapping



Power: measures the influence they have over the project and to what degree they can help achieve or block the project

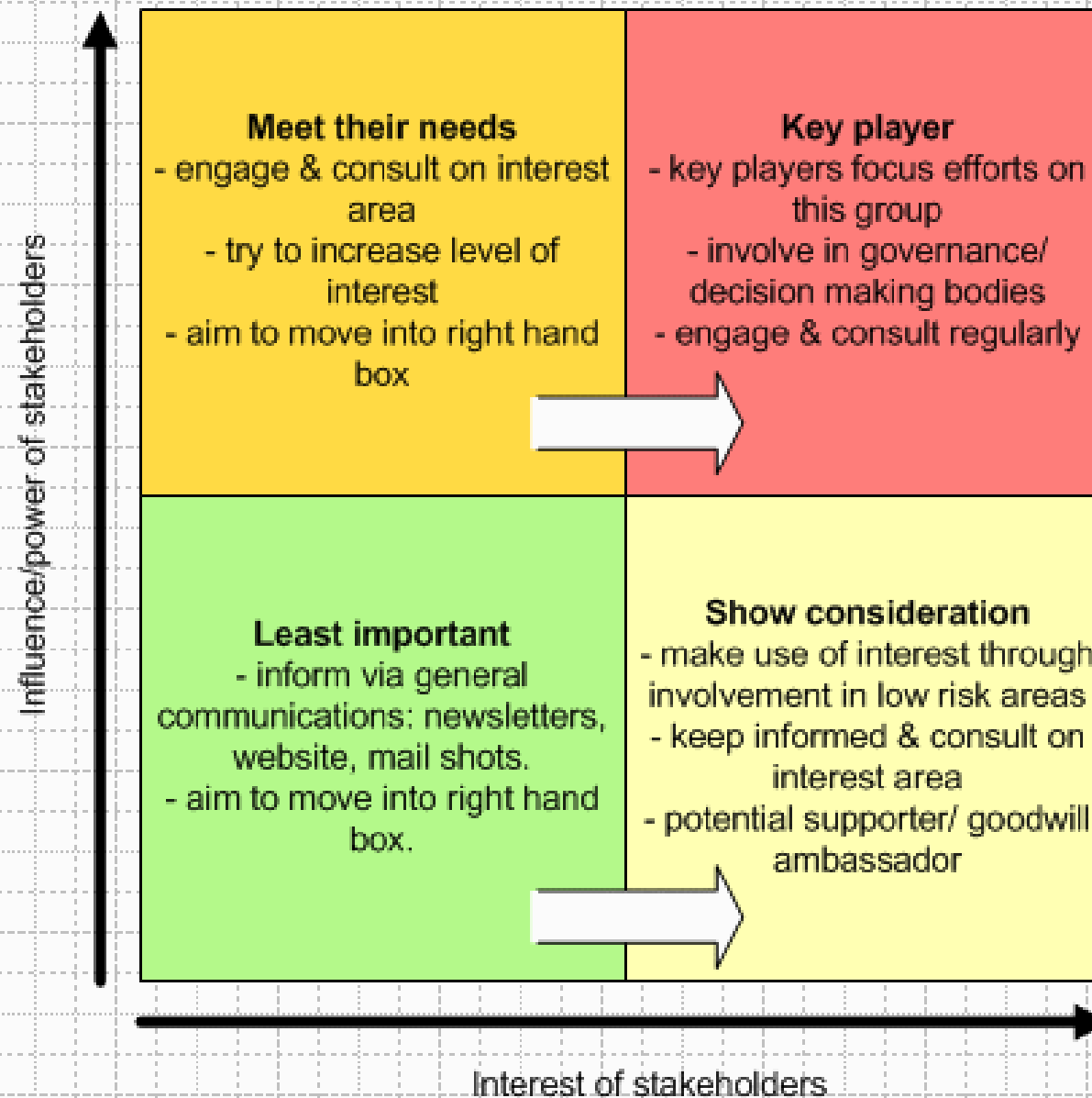
Interest: measures the degree they are likely to be affected by the project, and what degree of interest or concern they have about the project/ in the project

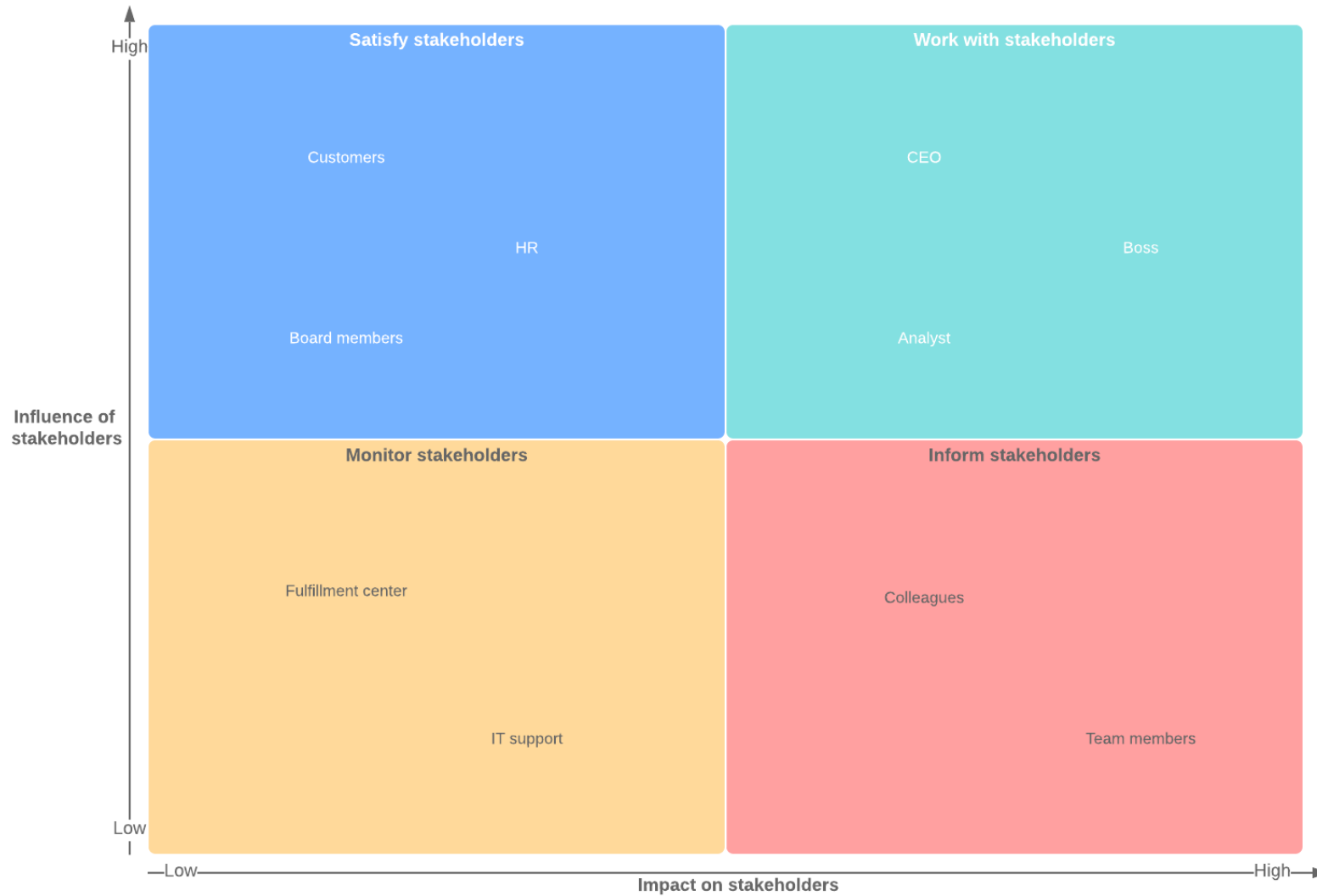
High power, high interest – fully engage with them and keep them satisfied

High power, low interest – manage them closely

Low power, high interest – keep them adequately informed and ensure no major issues

Low power, low interest – monitor but don't bore them





Example

Activity – 30 minutes

Coventry University Group wants to open another campus in Poland.*
Can you identify who their stakeholders are and also do a stakeholder analysis using the matrix.

How to analyse

Attitude

- Supportive?
- Indifferent?
- Opposed?

Influence

- Decision makers
- Policy maker
- Access 'gate keeper'

Interested or not interested?

Supportive or opposed?

Approachability?

Flexibility

Ability to block if still opposed?

Accessibility?

Open-mindedness

Willingness to use influence
to change the outcome (+ve
or -ve)

Stakeholder analysis process



Identify stakeholders - beneficiaries, vulnerable groups, supporters/oppositons

Assess impact on project – expectation, benefits, resources, conflicting interest

Assess influence – power, organisation, control of resources, personal connections, power relations

Participation strategy – plan of their involvement, interest, importance, participation in various project cycle

Summary of analysis

Context

- Identify focus
- Identify system boundaries

Application of stakeholder methods

- Identify stakeholders and their stake
- Differentiate between and categorise stakeholders
- Investigate relationships between stakeholders

Actions

- Recommend future activities and stakeholder engagement

References

Brevis, T. and Vrba, M. (2014) Contemporary Management Principles.

Essential Reading

Worthington, I. and Wilkinson, G. (2014) The Business Environment. 7th edn. Harlow: Pearson

Wetherly, P. and Otter, D. (2014) The Business Environment: Themes and Issues in a Globalising World. 3rd edn. Oxford: Oxford University Press

Recommended Reading

Campbell, D. & Craig, T. (2005) Organisations and the Business Environment. Oxford: Elsevier

References

Recommended Reading – cont'd

Capon, C. (2009) Understanding the Business Environment. 3rd edn. Harlow: Pearson

Harrison, A. (2013) Business Environment in a Global Context. 2nd edn. Oxford: Oxford University Press

Needle, D. (2015) Business in Context. 6th edn. Andover: Cengage Learning

CMI Website: Management Direct

Websites used

Prachi, M. (2019, February 18) *Public limited company*. The Investors Book
[The Investors Book - Learn about Investing & Business related terms](#)